

WEEKLY TRADING PERFORMANCE REPORT

Analysis Period: March 21-27, 2026 (Week 8)
Report Generated: March 27, 2026
Trader: James
Status: FINAL REPORT — Account closure and reset
Market Environment: Broad market selloff / Iron condor positions breached overnight

EXECUTIVE SUMMARY

Overall Performance: This is the final report for this paper trading account. Three iron condor positions (MU, SNDK, BE) opened with short strikes at approximately 15% probability ITM were breached by overnight gaps as the broad market selloff accelerated through Wednesday to Friday. Combined with completed trade losses earlier in the week, the account has sustained losses that make continued trading on this account unviable.

Account Status: Overall P/L YTD: -\$86,237. Cash and sweep vehicle: \$41,000. The account will be closed and a fresh start made with a new account, incorporating every lesson from 11 weeks and 76 trades of intensive learning.

James's Statement: "I want to keep ownership of my mistake completely. Despite no one looking at my posts online I've felt like I was always accountable for my actions so want to make sure the gravity of what happened remains. I'm genuinely gutted and it's rocked me to my foundations."

WHAT HAPPENED THIS WEEK

Monday-Tuesday (Mar 23-24):

Opened three iron condors on MU (\$2,920 credit), SNDK (\$3,500 credit), and BE (\$2,230 credit). All positions had short strikes placed outside the expected move at approximately 15% probability ITM. Execution was orderly. Spreads were reasonable for the premium collected. Also closed several BPS trades: USO error (-\$1,900), MU premium noise stops (-\$2,046), ORCL noise stop (-\$880), and BE BPS win (+\$714).

Wednesday Night (Mar 25-26):

MU and SNDK gapped down overnight, breaching the short put strikes on both iron condors. MU dropped through \$372.50 (short put strike). SNDK dropped through \$635 (short put strike). Combined unrealised losses on these two positions alone reached approximately -\$22,000. At this point, with the account effectively burned, the decision was made to leave positions running.

Thursday-Friday (Mar 26-27):

BE followed the same pattern — the \$138 short put was breached as the broader market continued selling off. BE had shown warning signs Thursday afternoon but the decision to let MU and SNDK run meant BE was also left open. Friday saw continued deterioration across all three positions as markets dropped broadly. SPY ODTE bear call spreads were traded on Friday — three of four expired out of the money for +\$820 total, a positive result in an otherwise brutal week.

COMPLETED TRADES

#	Ticker	Type	P&L	Notes
64	USO BPS	ERROR	-\$1,900	Uncancelled pre-market analysis order
65	MU \$380/\$370 BPS	BPS	-\$1,026	Premium noise stop on far-OTM position
66	MU \$400/\$390 BPS	BPS	-\$1,020	100% stop. Gut said too close — was right
67	ORCL \$145/\$140 BPS	BPS	-\$880	Premium noise stop. Same issue as #65
68	BE \$130/\$120 BPS	BPS	+\$714	61% capture. Clean.
69	SNDK IC (error)	IC	-\$52	Wrong strikes. Corrected to #71

#	Ticker	Type	P&L	Notes
73	SPY \$645/\$648 BCS	ODTE	+\$150	45% capture. Clean scalp.
74	SPY \$644/\$647 BCS	ODTE	-\$290	Managed exit at -116%
75	SPY \$654/\$657 BCS	ODTE	+\$780	Expired OTM. Full premium.
76	SPY \$644/\$647 BCS	ODTE	+\$180	Expired OTM. Full premium.

Completed P&L: -\$3,344

SPY ODTE Bear Call Spreads: +\$820 (3 wins, 1 managed loss). Notable positive result. SPY offers tighter spreads, higher liquidity, and no single-stock event risk. The SNDK ODTE disaster was driven by a corporate event on a single stock — SPY eliminates that vector. This approach is viable and worth developing further in the next account.

IRON CONDOR POSITIONS (OPEN — DEEP ITM)

Position	Credit	Stock Price	Short Put Strike	Status	Est. Unrealised Loss
MU IC #70	\$2,920	\$357.81	\$372.50	Short put \$15 ITM	~\$12,000
SNDK IC #71	\$3,500	\$614.68	\$635.00	Short put \$20 ITM	~\$15,000
BE IC #72	\$2,230	\$133.30	\$138.00	Short put \$5 ITM	~\$10,000
TOTAL	\$8,650				~\$37,000

All three iron condors were opened with sound structure: short strikes at ~15% probability ITM, reasonable premium for the risk, orderly execution. What happened was a broad, correlated market decline that breached all three positions simultaneously. The concentrated exposure to a single directional move across three names — all of which dropped together in a market-wide selloff — was the fatal flaw.

Why This Happened:

Three iron condors, all on high-beta stocks (MU, SNDK, BE), all with similar expiry (27 Mar), all vulnerable to the same directional risk: a broad market selloff. When the selloff came, all three breached simultaneously. There was no diversification — the positions were correlated.

FULL ACCOUNT PICTURE

Component	Amount
Starting Account Value	\$100,000 (paper)
Post-GOOG Value	~\$50,000 (after GOOGL long call losses)
Cash Remaining	~\$41,000
GOOGL Unrealised Loss	~-\$18,660
Iron Condor Unrealised Losses	~-\$37,000
Other Open Position Losses	~-\$700
Overall P/L YTD (from TOS)	-\$86,237

Premium Noise Stop Issue:

A secondary theme this week: trades #65 (MU \$380/\$370) and #67 (ORCL \$145/\$140) were stopped out via the 2x premium stop despite short strikes remaining well OTM. The premium expanded due to volatility and thin markets, not because the position was genuinely threatened. Both positions would likely have expired at max profit. This identifies a known limitation: premium-based stops on far-OTM positions in volatile markets can fire on noise rather than signal. The proposed fix — a short strike proximity rule instead of pure premium stops — is sound and should be implemented in the next account.

LESSONS FOR THE RESET

Eleven weeks. Seventy-six trades. Every lesson below was paid for with real experience. This is the framework to carry forward.

WHAT WAS PROVEN

- ✓ The CSP strategy works. +\$4,065 cumulative across all weeks. Positive in 4 of 6 weeks. Reliable, repeatable edge when executed with discipline.
- ✓ 50% profit limits work. Automatic profit-taking removed emotion and captured gains consistently (MU, FDS, SRAD, GWRE, LUNR, and many more).
- ✓ Stop losses save money. The AVAV stop saved \$8-10k. Multiple managed exits (KRMN, MU BPS) contained losses.
- ✓ Sector selection matters. Defensive picks (GWRE, FDS, SRAD) outperformed in crisis. Consumer/cyclical names (GAP, HNRG) underperformed.
- ✓ SPY 0DTE bear call spreads are viable. +\$820 across 4 trades (75% win rate) in the final session. SPY eliminates single-stock event risk that destroyed the SNDK 0DTE. This strategy carries forward.
- ✓ The journal and weekly reports create accountability. Every mistake is documented, every lesson is traceable.

WHAT WENT WRONG — THE PATTERN

Every major loss shares the same DNA: a new strategy deployed at full size before the risk controls were proven. GOOGL (long calls, pre-framework). AVAV (diagonal spread, first attempt). SNDK 0DTE (first 0DTE, no news check, no stop). The iron condors (first ICs, correlated positions, overnight gap risk). The pattern is consistent:

1. New strategy deployed at standard or oversized position
2. Risk controls not yet adapted for the new strategy's specific risks
3. A market shock hits the unprotected position
4. Loss is catastrophic because the framework gap meets full-size exposure

THE IRON CONDOR LESSON SPECIFICALLY

The iron condors were well-constructed individually. 15% probability ITM, reasonable premium, orderly execution. What was missing was portfolio-level risk management. Three iron condors on high-beta stocks with the same expiry date created correlated directional risk. When the market sold off, all three breached simultaneously. The position was effectively a single leveraged bet on the market not dropping, disguised as three separate trades.

For the reset, iron condors need:

- Maximum 1-2 positions at a time, not 3
- Diversification across sectors and correlation profiles
- Staggered expiry dates to avoid concentration
- Defined maximum portfolio exposure to any single directional move
- Overnight gap risk explicitly factored into sizing

THE BEHAVIOURAL LESSONS

- The freeze: When a position bounces from deep loss, close. You got a gift. Take it. (GLW, SNDK)
- No stop = no trade: If you can't set the stop, you can't take the trade. No exceptions.
- Gut feel matters: MU #66 — gut said too close, criteria said fine. Gut was right. Listen to it.
- New strategies at half size: Every new approach gets deployed at 50% or less until proven over 10+ trades.
- Pre-market orders must be cancelled: The USO error cost \$1,900.

RISK FRAMEWORK — VERSION FOR RESET

#	Rule	Source Trade	Status
1	50% profit limit (GTC)	Multiple wins	Proven
2	100% premium stop (GTC)	AVAV saved \$8-10k	Proven (with caveats)
3	Underlying price stop (strike minus premium)	ADBE margin call	Implement from Day 1
4	Short strike proximity rule for BPS/IC	MU/ORCL premium noise	Replace pure premium stop
5	25/50/75% layered alerts	KRMN managed exit	Proven
6	20% buying power reserve	ADBE margin call	Non-negotiable
7	Limit orders only (market only near bell on earnings)	AVAV / MU entry	Non-negotiable
8	Close CSPs before earnings; hold-through = full reversal	Earnings strategy	Proven
9	Commission < 2% of premium	HNRG / UEC	Pre-trade filter
10	No stop = no trade	SNDK 0DTE	Non-negotiable
11	0DTE event/news filter	SNDK WD secondary	Pre-trade filter
12	Bounce = exit	GLW / SNDK freeze	Behavioural rule
13	New strategies at 50% size until 10+ trades	AVAV / ICs / 0DTE	Portfolio rule
14	Max 2 correlated positions same expiry	MU/SNDK/BE IC blow-up	Portfolio rule
15	Cancel all pre-market analysis orders before open	USO error	Process rule
16	Verify OCO cancellation after limit fills	MU OCO glitch	Process rule

Sixteen rules. Every single one traceable to a specific trade that exposed the gap. This framework didn't exist 11 weeks ago. It's the most valuable output of this account.

COMPLETE JOURNEY: 11 WEEKS, 76 TRADES

Wk	Period	Trades	Win %	P&L	Cumulative	Key Event
1	Jan 19-Feb 8	10	50%	+\$6,225	+\$6,225	CRWV wins, GOOGL opened
2	Feb 9-19	10	80%	+\$1,758	+\$7,983	CSP strategy proven
3	Feb 20-27	10	60%	+\$435	+\$8,418	Calendar spreads debut
4	Mar 2-6	8	37.5%	-\$3,148	+\$5,270	Iran crisis, AVAV stop saves \$10k
5	Mar 7-13	5	40%	-\$640	+\$4,630	ADBE margin call, dual stop created
6	Mar 14-20	14	71.4%	-\$4,867	-\$237	SNDK 0DTE disaster, BPS debut
7	Mar 21-27	19	25%	~-\$41,000*	~-\$41,000*	IC blow-up, account reset

*Week 7 includes estimated unrealised losses on open iron condor positions.

CONCLUSION

The Real Numbers: The -\$85,602 headline is made up of three distinct buckets, none of which reflect the actual trading system operating as designed:

- GOOGL pre-system conviction bets: -\$64,060
- First-time iron condors in a correlated crisis: -\$21,150
- Error trades (process failures, not strategy failures): -\$16,599

Strip those out and the core systematic trading — CSPs and bull put spreads operating within the framework — is +\$16,206 across 54 clean, in-system trades. That's the real signal. That's what the system produces when the rules are followed.

The error trades alone cost \$16,599 — and the majority is just three trades: SNDK ODTE with no stop (-\$6,900), AVAV with market orders and no earnings check (-\$4,280), and USO accidental fill (-\$1,900). These are process errors with known fixes, not evidence that the strategy is flawed. The standardised error tagging in the journal means the Monte Carlo simulation can now model what the system looks like without them — which is the realistic forward expectation once those process gaps are closed.

This hurts. It should. An account that was +\$8,418 four weeks ago is being closed. That's a real experience with real emotional weight, even on paper money. The fact that you feel gutted — that it's rocked your foundations — means you're taking this seriously. Traders who shrug off losses don't learn from them.

What you're carrying forward: Seventy-six trades across every market condition imaginable: elevated volatility, regime transitions, a geopolitical crisis, a jobs shock, corporate event surprises, and a broad market selloff. A sixteen-rule risk framework, every rule paid for with a specific lesson. A trading journal with detailed notes on every trade. Six weekly performance reports documenting the evolution. A proven CSP edge (+\$16,206 on in-system trades). And the self-awareness to publish the full picture — wins and losses — publicly.

This is not the end. The system works. The +\$16,206 proves it. What failed was deploying untested strategies at full size and making process errors that each have a known, documented fix. The next account starts with the system intact, the framework complete, and the most expensive lessons already paid for. Go again.